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2027 CYCLE

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CUET UG

Accountancy (301)

Accounting for Partnership: Basic Concepts

Official Syllabus Unit I · Class 12 NCERT · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET UG Accountancy, Unit I)	Skills the questions test
Nature of Partnership Firm	Nature of Partnership Firm: Partnership deed (meaning, clauses, importance), Indian Partnership Act 1932 defaults.	Spotting deed clauses, applying the Act's default rules when deed is silent.
Fixed vs Fluctuating Capital	Accounts of Partnership: Fixed vs Fluctuating capital systems, ledger postings, debit balances.	Selecting ledger architecture, Capital vs Current Account postings, Balance Sheet presentation.
Division of Profit & Appropriations	Profit and Loss Appropriation account, interest on capital, interest on drawings, partner salary & commission.	Separating charges from appropriations, time-weighted interest calculations, average-period shortcuts.
Guarantee of Profit to a Partner	Guarantee of profit: by firm, by particular partner, partner to firm, calculation of deficiency.	Calculating shortfall, sharing deficiency in agreed or mutual PSR, two-way guarantee ordering.
Past Adjustments	Past adjustments: errors and omissions in interest, salary, or profit-sharing ratios after closing books.	Statement showing adjustments, net analytical matrix, single composite rectification entry.

EXAM PATTERN

CUET UG Pattern (NTA 2026–2027 Baseline): The Accountancy paper (Code 301) carries 50 compulsory MCQs in 60 minutes (+5 marks for correct, −1 mark for incorrect). Unit I (Partnership Fundamentals) serves as the conceptual bedrock for all reconstitution and company accounting units, typically contributing 6 to 8 direct computation and concept MCQs.

The Partnership Firm & Statutory Rules

Two entrepreneurs establish a commercial venture together. One contributes greater capital, while the other devotes full-time managerial labor. At the close of the financial year, a decisive question emerges: how should the net surplus be allocated fairly and transparently? Partnership accounting exists to resolve that allocation without ambiguity. The firm's first legal safeguard is a written **Partnership Deed**—the foundational contract executed by all partners.

Statutory Definition & Essential Features

Under **Section 4 of the Indian Partnership Act, 1932**:

Definition: Statutory Definition of Partnership

"Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

The five essential legal characteristics tested by CUET are:

1. **Two or More Persons:** Minimum number of partners is **2** (Section 4). The maximum number of partners in a partnership firm is legally capped at **50** under Rule 10 of the Companies (Miscellaneous) Rules, 2014 (framed under Section 464 of the Companies Act, 2013).
2. **Agreement:** Partnership originates from a mutual contract (express or implied, oral or written), not from status (distinguishing it from a Hindu Undivided Family).
3. **Lawful Business:** Must exist to carry on a legal trade, occupation, or profession with the objective of generating profit.
4. **Sharing of Profits:** Sharing of profits is prima facie evidence of partnership. An agreement to share profits also implies an agreement to share losses, although a partner may be admitted for profits only (e.g., a minor under Section 30).
5. **Mutual Agency (The Cardinal Principle):** Business is carried on by all or any of them acting for all. Every partner is simultaneously a **principal** (bound by the acts of others) and an **agent** (capable of binding all other partners by his acts in the ordinary course of business). Mutual agency is the **conclusive test** of partnership.

What the Partnership Deed Settles

The **Partnership Deed** is the written document containing the mutually agreed terms, rights, duties, and obligations of the partners. While registration of a partnership is not compulsory under the 1932 Act, a written deed is highly advisable to avoid future litigation.

Clause	What it settles before transactions commence
Names and address	Firm name, principal place of business, nature of trade, duration if specified.
Capital contribution	Amount contributed by each partner, and whether capital remains fixed or fluctuating.
Profit-sharing ratio	Exact mathematical proportion in which profits and losses are shared.
Salaries and commission	Specific remuneration or percentage commission payable to working partners.
Interest on capital	Rate at which the firm compensates partners for their invested capital.
Interest on drawings	Rate charged to discourage premature or excessive withdrawals by partners.
Drawings limits	Ceiling on drawings allowed per month/quarter and procedure for withdrawal.
Loans and disputes	Rate of interest on partner advances, and arbitration mechanism for disputes.

- **Why the deed matters:** It constitutes conclusive documentary evidence, preventing partners from arbitrarily altering profit ratios or demanding unagreed salaries.
- **Dispute prevention:** Disagreements regarding profit splits, salaries, and interest rates represent the most common commercial conflicts; a deed resolves them ex-ante.

Statutory Default Provisions (When the Deed is Silent)

When a firm has no written deed, or where the deed is completely silent on a specific matter, the **Indian Partnership Act, 1932** imposes six strict statutory defaults:

Accounting Item	Statutory Default Rule	Exam Application & Legal Basis
Profit & Loss Sharing	Equally (1 : 1 : ...)	Section 13(b): Capital contribution ratio is completely ignored.
Interest on Capital	NOT Allowed (0%)	Section 13(c): No partner can claim interest on capital as a right.
Interest on Drawings	NOT Charged (0%)	Firm cannot levy interest on money withdrawn by partners.
Partner Remuneration	NOT Payable (₹0)	Section 13(a): No salary, commission, or bonus for participating in business.
Interest on Partner's Loan	Strictly **6% p.a.**	Section 13(d): Mandatory **charge** against profit, payable even in net loss!
Books Inspection	Absolute Right	Section 12(d): Every partner has a right to inspect and copy any firm account.

EVERYDAY EXAMPLE — THE PRE-MATCH RULEBOOK

Before a tournament match, both teams execute ground rules: 20 overs, two bouncers per over, super-over for ties. Neither captain can dispute decisions midway because terms were signed beforehand. The **Partnership Deed** is that rulebook—and where a rule was omitted, the umpire (the Indian Partnership Act, 1932) applies standard statutory defaults, not whatever a partner invents mid-season.

WORKED EXAMPLE — LOAN INTEREST VS CAPITAL INTEREST

A and B are partners contributing capitals of ₹2,00,000 and ₹50,000 respectively. The deed is silent on interest. A has additionally advanced ₹1,00,000 as a temporary business loan to the firm. At year-end, A claims:

1. 6% interest on his ₹2,00,000 capital balance.
2. 6% interest on his ₹1,00,000 loan.

Evaluation under Partnership Act, 1932:

- **Claim 1 is REJECTED:** The deed is silent, so Section 13(c) strictly disallows Interest on Capital. A receives ₹0.
- **Claim 2 is ACCEPTED:** Section 13(d) automatically grants 6% p.a. on partner loans:

$$1,00,000 \times 6\% = ₹6,000$$

This ₹6,000 is a **charge against profit**, payable even if the firm suffers a net loss!

Capital Account Systems: Fixed vs Fluctuating

The financial transactions between a partner and the firm (capital contribution, withdrawals, interest, salary, and profit shares) are recorded under one of two standardized ledger architectures:

1. Fixed Capital System

Under this system, the original capital contributed by partners remains constant over time. To maintain capital integrity, **two accounts** are maintained for each partner:

- **Partner's Capital Account:** Records only two exceptional events:
  1. Permanent introduction of fresh / additional capital (Credit side).
  2. Permanent withdrawal of capital against capital (Debit side).
  - **Balance Characteristic:** The Capital Account **always shows a Credit balance**.
- **Partner's Current Account:** Records all routine yearly transactions:
  - **Credit Side:** Interest on Capital, Partner's Salary, Partner's Commission, Share of Divisible Profit.
  - **Debit Side:** Drawings against profit, Interest on Drawings, Share of Divisible Loss.
  - **Balance Characteristic:** Can show either a **Credit balance** (shown on Liability side of B/S) or a **Debit balance** (shown on Asset side of B/S when drawings/losses exceed entitlements).

2. Fluctuating Capital System

Under this system, only **one single account**—the **Partner's Capital Account**—is maintained for each partner. All transactions (initial capital, additions, withdrawals, interest, salary, commission, and profit/loss shares) are funneled through this single account.

- **Balance Characteristic:** The balance changes (fluctuates) continuously with every transaction.
- **Default Assumption:** In the absence of any instruction in the question, **the Fluctuating Capital System is always presumed**.

The Two Systems Side by Side

Comparison Point	Fixed Capital System	Fluctuating Capital System
Number of Accounts	Two per partner (Capital A/c + Current A/c)	One per partner (Capital A/c only)
Capital Stability	Remains unchanged except on permanent capital events	Fluctuates continuously year after year
Operational Postings	Passed strictly through Partner's Current A/c	Passed directly into Partner's Capital A/c
Possibility of Debit Balance	Capital A/c never; Current A/c can show Debit balance	Capital A/c can show Debit balance (rare, during losses)
Balance Sheet Placement	Capital on Liabilities; Current Dr on Assets / Cr on Liab.	Capital balance on Liabilities (or Assets if Dr)

Standard Ledger Formats Under Fixed System

Partner's Capital Account (Fixed):

Dr. Particulars	₹	Cr. Particulars	₹
To Cash / Bank A/c (Capital withdrawn permanently)	—	By Balance b/d (Opening balance)	—
To Balance c/d (Closing balance)	—	By Cash / Bank A/c (Fresh capital added)	—
Total	—	**Total**	—

Partner's Current Account:

Dr. Particulars	₹	Cr. Particulars	₹
To Balance b/d (if opening debit balance)	—	By Balance b/d (if opening credit balance)	—

Dr. Particulars	₹	Cr. Particulars	₹
To Drawings A/c (against profits)	—	By Interest on Capital A/c	—
To Interest on Drawings A/c	—	By Partner's Salary / Commission A/c	—
To P&L Appropriation A/c (Share of loss)	—	By P&L Appropriation A/c (Share of profit)	—
To Balance c/d (Closing credit balance)	—	By Balance c/d (Closing debit balance)	—

The Six Primary Journal Entries

Transaction	Debit	Credit
Transfer Net Profit to Appropriation	Profit & Loss A/c	P&L Appropriation A/c
Allow Interest on Capital	P&L Appropriation A/c	Partner's Capital/Current A/c
Charge Interest on Drawings	Partner's Capital/Current A/c	P&L Appropriation A/c
Allow Partner's Salary / Commission	P&L Appropriation A/c	Partner's Capital/Current A/c
Transfer to General Reserve	P&L Appropriation A/c	General Reserve A/c
Distribute Divisible Profit	P&L Appropriation A/c	Partner's Capital/Current A/c

WORKED EXAMPLE — COMPARATIVE LEDGER SYSTEMS

Partner X has an opening capital of ₹2,00,000 on 1 April 2026. During the year:

- Interest on Capital: ₹12,000
- Annual Salary: ₹24,000
- Drawings against profits: ₹30,000
- Interest on Drawings: ₹1,500
- Share of Divisible Profit: ₹45,000

Accounting Outcomes:

- **Fixed Capital System:**
  - Capital Account closing balance remains unchanged at **₹2,00,000 (Cr.)**.
  - Current Account closing balance $= 12,000 + 24,000 + 45,000 - 30,000 - 1,500 =$ **₹49,500 (Cr.)**.
- **Fluctuating Capital System:**
  - Single Capital Account closing balance $= 2,00,000 + 12,000 + 24,000 + 45,000 - 30,000 - 1,500 =$ **₹2,49,500 (Cr.)**.

Note that ₹2,00,000 + ₹49,500 equals exactly ₹2,49,500!

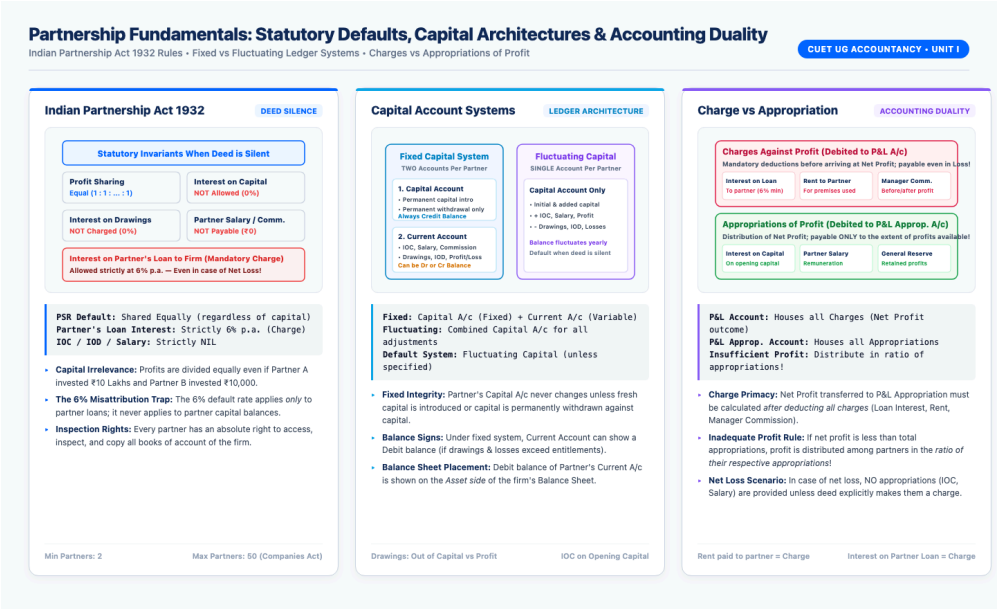


Figure 1: Partnership Fundamentals: Statutory default provisions under the Indian Partnership Act 1932, Capital Ledger Architectures, and Charges vs Appropriations.

Profit & Loss Appropriation Account

The **Profit and Loss Appropriation Account** is a nominal account prepared as a special extension of the general Profit and Loss Account. While the P&L Account determines the **Net Profit earned by the firm**, the P&L Appropriation Account determines **how that Net Profit is distributed** among the partners in accordance with the deed.

Charges Against Profit vs Appropriations of Profit

This distinction is the single most tested conceptual boundary in Unit I:

Feature	Charge Against Profit	Appropriation of Profit
Nature & Obligation	Compulsory business expense; payable irrespective of profit or loss	Distribution of profit; payable **only out of available profits**
Ledger Destination	Debited to **Profit and Loss Account**	Debited to **Profit & Loss Appropriation Account**
Standard Examples	1. Interest on Partner's Loan (6% min) 2. Rent payable to a partner for premises 3. Manager's Commission	1. Interest on Partner's Capital 2. Partner's Salary / Commission 3. Transfer to General Reserve
Financial Effect	Reduces Net Profit before appropriation	Apportions the Net Profit already determined

Standard Format of P&L Appropriation Account

Dr. Particulars	₹	Cr. Particulars	₹
To Profit & Loss A/c (if Net Loss b/d)	—	By Profit & Loss A/c (Net Profit b/d)	—
To Interest on Capital A/c	—	By Interest on Drawings A/c:	
To Partner's Salary A/c	—	Partner A	—

Dr. Particulars	₹	Cr. Particulars	₹
To Partner's Commission A/c	—	Partner B	—
To General Reserve A/c	—		
To Divisible Profit transferred to:		By Loss transferred to Capital/Current A/cs:	
Partner's Capital / Current A/cs	—	(if appropriations exceed credit side)	—
Total	—	**Total**	—

The Rule of Inadequate Profits

When net profit exists but is **insufficient** to satisfy all appropriations (e.g., available profit is ₹24,000, while total Interest on Capital due is ₹30,000):

Note:
Appropriation Ratio Rule: No partner receives their full claim, nor does the firm incur an artificial net loss. Instead, the available profit is distributed among the partners in the **ratio of their respective individual claims / appropriations**!

WORKED EXAMPLE — INADEQUATE PROFIT ALLOCATION

A and B have capitals of ₹2,00,000 and ₹1,00,000. The deed allows Interest on Capital @ 6% p.a. Profit sharing ratio is 3:2. The net profit for the year before interest is only ₹12,000. Compute the interest allowed to each partner.

Solution:

1. Full Interest on Capital: A $= 2,00,000 \times 6\% =$ ₹12,000; B $= 1,00,000 \times 6\% =$ ₹6,000. Total required = ₹18,000.
2. Since available profit (₹12,000) < required appropriations (₹18,000), profit is distributed in the ratio of claims:
$$\text{Ratio of claims} = 12,000 : 6,000 = 2 : 1$$
3. Interest actually credited:
   - A's share $= 12,000 \times \frac{2}{3} =$ **₹8,000**
   - B's share $= 12,000 \times \frac{1}{3} =$ **₹4,000**

(Divisible profit after interest is Nil; Capital ratio is ignored).

Computation of Operational Adjusters

1. Interest on Capital (IOC)

- **Base Amount:** Always calculated on the **Opening Capital** (Capital as on 1 April).
- **If Closing Capital is Given (Fluctuating System):**
  Opening Capital = Closing Capital + Drawings + Interest on Drawings − Additional Capital − Share of Profit
- **If Closing Capital is Given (Fixed System):**
  Opening Capital = Closing Capital + Permanent Capital Withdrawal − Additional Capital Introduced
  (Routine drawings and profits affect the Current Account only, leaving Capital Account unaffected!).
- **Time-Weighted Additions:** Additional capital introduced during the year earns interest pro-rata for the remaining unexpired months:
$$\text{IOC} = \text{Opening Capital} \times \frac{\text{Rate}}{100} + \text{Addition} \times \frac{\text{Rate}}{100} \times \frac{\text{Months}}{12}$$

2. Interest on Drawings (IOD)

Drawings represent amounts withdrawn by partners for personal household use. Interest on drawings is charged by the firm only if expressly authorized by the partnership deed.

- **Direct / Product Method:** Used when unequal amounts are withdrawn at irregular intervals:

$$\text{IOD} = \sum(\text{Amount} \times \text{Period in Months}) \times \frac{\text{Rate}}{100} \times \frac{1}{12}$$

- **Average Period Method:** Used when equal amounts are withdrawn at regular, uniform intervals:

AVERAGE PERIOD METHOD

$$\text{Average Period } (T_{\text{avg}}) = \frac{\text{Months left after 1st drawing} + \text{Months left after last drawing}}{2}$$

$$\text{IOD} = \text{Total Annual Drawings} \times \frac{\text{Rate}}{100} \times \frac{T_{\text{avg}}}{12}$$

Withdrawal Schedule	Beginning of Period	Middle of Period	End of Period
Monthly (12 drawings)	**6.5 months** $\left(\frac{12+1}{2}\right)$	**6.0 months** $\left(\frac{11.5+0.5}{2}\right)$	**5.5 months** $\left(\frac{11+0}{2}\right)$
Quarterly (4 drawings)	**7.5 months** $\left(\frac{12+3}{2}\right)$	**6.0 months** $\left(\frac{10.5+1.5}{2}\right)$	**4.5 months** $\left(\frac{9+0}{2}\right)$
Monthly for 6 Months	**3.5 months** $\left(\frac{6+1}{2}\right)$	**3.0 months** $\left(\frac{5.5+0.5}{2}\right)$	**2.5 months** $\left(\frac{5+0}{2}\right)$
Date of Drawing Silent	—	**Flat 6.0 months**	—

3. Partner's Commission

- **Commission as a percentage of Net Profit BEFORE charging such commission:**

$$\text{Commission} = \text{Net Profit} \times \frac{\text{Rate}}{100}$$

- **Commission as a percentage of Net Profit AFTER charging such commission:**

$$\text{Commission} = \text{Net Profit} \times \frac{\text{Rate}}{100 + \text{Rate}}$$

WORKED EXAMPLE — COMPREHENSIVE P&L APPROPRIATION

A and B share profits in 3:2. Capital balances on 1 April 2026: A ₹2,00,000; B ₹1,00,000.

- Interest on Capital: 6% p.a.
- Monthly Salary to B: ₹1,000 per month.
- Drawings: A ₹30,000; B ₹20,000 (dates not mentioned). Rate of IOD: 6% p.a.
- Firm Net Profit before appropriations: ₹1,05,500.

Step-by-Step Ledger Construction:

1. **Interest on Capital:** A $= 2,00,000 \times 6\% =$ ₹12,000; B $= 1,00,000 \times 6\% =$ ₹6,000. Total = ₹18,000.
2. **Salary to B:** $1,000 \times 12 =$ ₹12,000.
3. **Interest on Drawings (6 months average):**
   - A: $30,000 \times 6\% \times \frac{6}{12} =$ ₹900
   - B: $20,000 \times 6\% \times \frac{6}{12} =$ ₹600
   - Total IOD = ₹1,500.
4. **Credit side total:** $1,05,500 + 1,500 =$ ₹1,07,000.
5. **Debit appropriations:** $18,000 + 12,000 =$ ₹30,000.
6. **Divisible Profit:** $1,07,000 - 30,000 =$ **₹77,000**.
   - A's share $= 77,000 \times \frac{3}{5} =$ **₹46,200**
   - B's share $= 77,000 \times \frac{2}{5} =$ **₹30,800**

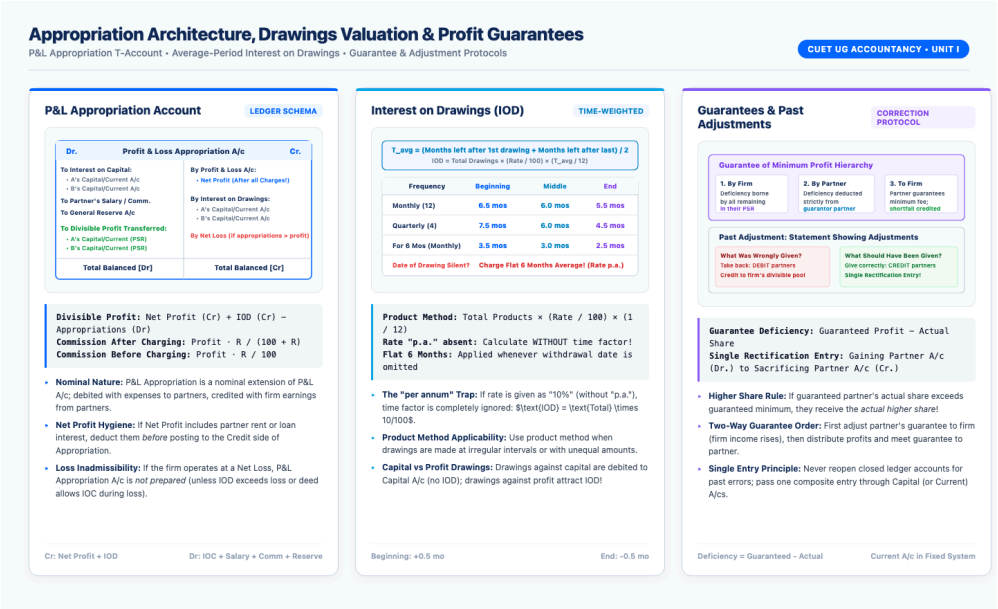


Figure 2: Appropriation Architecture & Drawings Valuation: P&L Appropriation T-Account layout, Average-Period interest matrix, and Guarantee hierarchy.

Guarantee of Profit & Past Adjustments

Guarantee of Minimum Profit

A guarantee is an assurance given to a partner that their share of firm profit will not fall below a predetermined minimum amount.

- **Case 1: Guarantee by the Firm (All Partners):**
  1. Distribute normal divisible profit according to agreed PSR.
  2. If the guaranteed partner's share is less than guaranteed amount, calculate **Deficiency**:
  $$\text{Deficiency} = \text{Guaranteed Minimum} - \text{Actual Profit Share}$$
  3. The deficiency is deducted from the remaining partners in their mutual **Profit Sharing Ratio** (unless a specific sharing ratio is stipulated).
- **Case 2: Guarantee by a Single Partner:** The entire deficiency is deducted exclusively from that particular guarantor partner's share.
- **Case 3: Guarantee by Partner to Firm:** A partner guarantees that the firm will earn a minimum gross fee/income. If actual earnings fall short, the deficit is debited to that partner's Capital A/c and credited to P&L Appropriation A/c before normal distribution.

WORKED EXAMPLE — DUAL GUARANTEE SCENARIO

P, Q, and R enter into partnership sharing profits in 4:2:1. Firm profit for the year is ₹70,000. Terms of guarantee:

1. R is guaranteed a minimum profit of ₹15,000 by the firm.
2. Q personally guarantees that firm gross fees earned through his clients will not be less than ₹25,000. Actual fees earned by Q are only ₹16,000.

Step-by-Step Resolution:

- **Step 1 (Enforce Q's Guarantee to Firm):** Shortfall $= 25,000 - 16,000 = ₹9,000$. This is recovered from Q's Capital A/c and credited to P&L Appropriation. Divisible pool becomes:
$$70,000 + 9,000 = ₹79,000$$
- **Step 2 (Normal Distribution 4:2:1):**
  - P: $79,000 \times \frac{4}{7} = ₹45,143$
  - Q: $79,000 \times \frac{2}{7} = ₹22,571$

- R: $79,000 \times \frac{1}{7} = ₹11,286$
- **Step 3 (Enforce Firm's Guarantee to R):**
  - R's Deficiency $= 15,000 - 11,286 = ₹3,714$.
  - Borne by P and Q in their mutual ratio $4:2$ $(2:1)$:
    - P bears: $3,714 \times \frac{4}{6} = ₹2,476$
    - Q bears: $3,714 \times \frac{2}{6} = ₹1,238$
- **Final Distributed Shares:**
  - P: $45,143 - 2,476 = ₹\mathbf{42,667}$
  - Q: $22,571 - 1,238 - 9,000$ (fee) $= ₹\mathbf{12,333}$
  - R: $11,286 + 3,714 = ₹\mathbf{15,000}$

Past Adjustments (Rectification After Closing Books)

When errors or omissions (e.g., omitted Interest on Capital, omitted Interest on Drawings, or profits distributed in wrong ratio) are discovered **after** the final accounts and balance sheet have been finalized and signed, the books are **not reopened**. Instead, a single composite adjustment entry is passed at the beginning of the next accounting period through the partners' **Capital Accounts** (or **Current Accounts** under fixed system).

Four-Step Analytical Matrix:

1. Calculate the amounts that **ought to have been credited** (IOC, Salary, correct profit).
2. Calculate the amounts that were **actually credited wrongly**.
3. Find the net difference for each partner:
   - If Correct > Wrong: Partner has received less $\Longrightarrow$ **Credit Partner**.
   - If Wrong > Correct: Partner has received excess $\Longrightarrow$ **Debit Partner**.
4. Pass the single rectifying journal entry:

Gaining Partner's Capital/Current A/c	Dr.	
To Sacrificing Partner's Capital/Current A/c		

WORKED EXAMPLE — PAST ADJUSTMENT STATEMENT

A, B, and C share profits equally. After closing books for 2026, it was discovered that Interest on Capital @ 5% p.a. was omitted. Fixed capital balances were: A ₹1,00,000; B ₹80,000; C ₹60,000.

Analytical Adjustment Statement:

Particulars	A (₹)	B (₹)	C (₹)	Firm (₹)
Interest on Capital omitted (To be credited)	+5,000 (Cr.)	+4,000 (Cr.)	+3,000 (Cr.)	−12,000 (Dr.)
Division of ₹12,000 firm loss in 1:1:1 (To be debited)	−4,000 (Dr.)	−4,000 (Dr.)	−4,000 (Dr.)	+12,000 (Cr.)
Net Analytical Effect	**+1,000 (Cr.)**	**Nil**	**−1,000 (Dr.)**	**Nil**

Single Rectifying Journal Entry (under Fixed System):

C's Current Account	Dr.	₹1,000	
To A's Current Account			₹1,000

(Being omission of interest on capital adjusted through partners' current accounts).

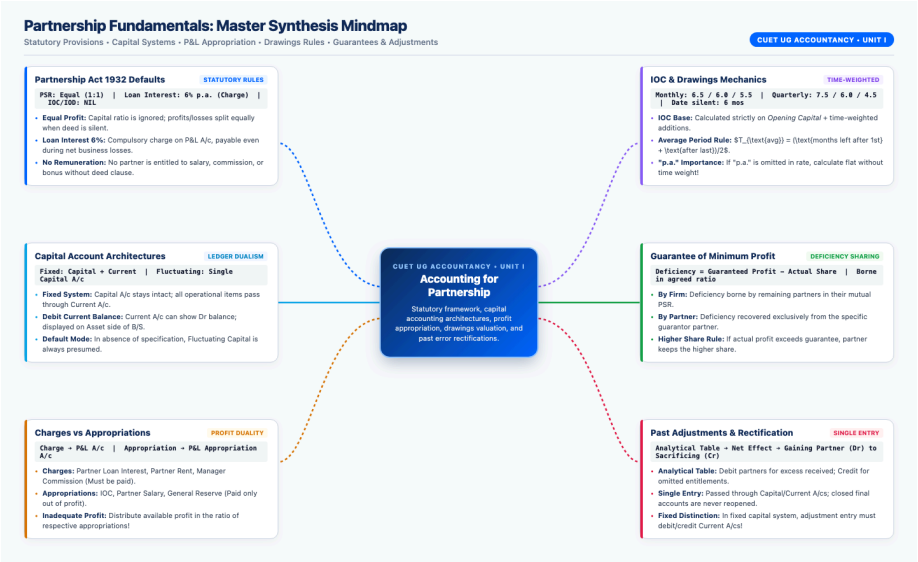


Figure 3: Master Synthesis Architecture: Complete Unit I cognitive roadmap integrating partnership provisions, ledger architectures, interest formulas, and guarantee hierarchies.

MASTER SYNTHESIS MAP & PROBLEM-SOLVING DIAGNOSTICS

- **Charges vs Appropriations Distinction:** Items categorized as charges (Interest on Partner's Loan @ 6% p.a., Rent paid to partner, Manager's commission) MUST be debited to Profit & Loss Account even if the firm suffers net losses. In contrast, appropriations (Interest on Capital, Partner Salary, Commission) are debited to P&L Appropriation Account and are restricted to the extent of available divisible profits.
- **Fixed vs Fluctuating Ledger Architecture:** Under Fixed Capital, Partner's Capital Account records ONLY opening balance, fresh capital introduced, and permanent withdrawals (drawings out of capital). All routine entitlements (drawings out of profit, IOC, IOD, salary, profit share) flow exclusively through the Partner's Current Account. Under Fluctuating Capital, all entries are combined into a single Capital Account.
- **Interest on Drawings Shortcuts:** For regular monthly drawings: Beginning of each month = 6.5 months; Middle of each month = 6.0 months; End of each month = 5.5 months. For quarterly drawings: Beginning = 7.5 months; Middle = 6.0 months; End = 4.5 months. When dates are omitted, apply average 6 months!
- **Guarantee Deficiency Ordering:** When a partner guarantees a minimum profit to the firm, any deficiency between actual earnings and guaranteed amount is first debited to that partner's capital. Divisible profit is then determined and allocated according to agreed profit-sharing ratios and personal guarantees.

MASTER PARTNERSHIP FUNDAMENTALS REVISION CHEATSHEET

- **Indian Partnership Act 1932 Defaults:** PSR equal (1 : 1) | IOC = 0% | IOD = 0% | Salary = ₹0 | Loan Interest = 6% p.a. (Charge).
- **Fixed Capital System:** Capital A/c (strictly permanent moves, always Credit) + Current A/c (all operational adjustments, can be Dr or Cr).
- **Charges vs Appropriations:** Charges (Loan interest, Rent, Manager commission) debited to P&L A/c | Appropriations (IOC, Salary, Reserve) debited to P&L Appropriation A/c.
- **Inadequate Profits:** Distribute available profit in the ratio of respective claims/appropriations (no loss created).
- **Interest on Drawings:** Monthly (Beginning 6.5, Middle 6.0, End 5.5) | Quarterly (Beginning 7.5, Middle 6.0, End 4.5) | Date silent: flat 6.0 months.
- **Rate Without "p.a.":** Calculate flat percentage without time factor (Drawings $\times \frac{\text{Rate}}{100}$).
- **Opening Capital Equation:** Opening = Closing + Drawings − Additions − Profit.
- **Commission After Charging:** Commission = Net Profit $\times \frac{\text{Rate}}{100+\text{ Rate}}$.
- **Guarantee Deficiency:** Borne by guarantors in mutual PSR | If actual share exceeds guarantee, partner receives actual higher share.
- **Past Adjustment Entry:** Gaining Partner's Capital/Current A/c Dr. to Sacrificing Partner's Capital/Current A/c Cr.

TOP 7 HIGH-FREQUENCY CUET TRAPS IN PARTNERSHIP ACCOUNTING

1. **The 6% Interest Misapplication Trap:** 6% p.a. applies strictly to partner loans when deed is silent. It **never** applies to partner capital or drawings!
2. **The "p.a." Omission Trap:** If the rate of interest on drawings is stated as "10%" rather than "10% p.a.", time weighting is prohibited—charge 10% on the full amount!
3. **Rent to Partner Trap:** Rent paid to a partner is a **charge against profit** debited to P&L A/c, not an appropriation. It never appears in P&L Appropriation A/c!
4. **Inadequate Profit Ratio Trap:** When net profit is insufficient for full IOC, students wrongly split profit in capital ratio or PSR. The law requires splitting in the **ratio of individual appropriations**!
5. **Fixed Capital System Ledger Trap:** In a fixed capital system, passing past adjustment entries or salary through the "Capital Account" earns −1. All operational entries **must pass through Current Accounts**!
6. **Date-Silent Drawings Trap:** If a partner withdrew ₹60,000 during the year without dates, interest must be calculated for an average period of **6 months flat**!
7. **Guarantee Upside Trap:** If guaranteed partner C is promised ₹20,000 and his actual profit share comes to ₹26,000, C receives **₹26,000**! The guarantee only provides a floor, never a ceiling.

CUET UG Exam-Style Practice Questions

Q1. Under Section 4 of the Indian Partnership Act, 1932 and Rule 10 of Companies Rules, 2014, the minimum and maximum number of partners in a firm are:

(A) 2 and 50 (B) 7 and 50
(C) 2 and 100 (D) 2 and 20

Sol. Q1. Minimum number of partners is 2 (Section 4, Partnership Act 1932). Maximum number is capped at 50 under Rule 10 of Companies (Miscellaneous) Rules, 2014.

Answer: (A)

Q2. The partnership deed is silent regarding interest on partner advances. If a partner provides a loan of ₹50,000 to the firm, interest payable for the full year is:

(A) Nil, as deed is silent (B) ₹3,000 as an appropriation of profit
(C) ₹3,000 as a charge against profit (D) ₹6,000 as a charge against profit

Sol. Q2. Under Section 13(d) of Partnership Act 1932, interest on a partner's loan is allowed at 6% p.a. as a mandatory charge on profit: $50,000 \times 6\% = ₹3,000$.

Answer: (C)

Q3. Under the fixed capital system, where is a partner's annual salary entitlement recorded in the accounting records?

(A) Credit side of Partner's Current Account (B) Credit side of Partner's Capital Account
(C) Debit side of Partner's Current Account (D) Debit side of Profit & Loss Account

Sol. Q3. In the fixed capital system, the Capital Account records only permanent capital changes. All operational entitlements (salary, IOC, profit) are credited to Current Account.

Answer: (A)

Q4. Which of the following items represents a charge against profit rather than an appropriation of profit?

(A) Interest on Partner's Capital (B) Partner's Annual Salary
(C) Rent payable to a partner for business premises (D) Transfer to General Reserve

Sol. Q4. Rent payable to a partner is an external business expense (charge against profit), debited to P&L A/c before arriving at Net Profit.

Answer: (C)

Q5. A partner draws ₹2,000 on the first day of every month throughout the year. If interest on drawings is charged @ 6% p.a., the total interest is:

(A) ₹780 (B) ₹720
(C) ₹840 (D) ₹1,440

Sol. Q5. Total drawings $= 2,000 \times 12 = ₹24,000$. Beginning of month: $T_{\text{avg}} = \frac{12+1}{2} = 6.5$ mos. IOD $= 24,000 \times \frac{6}{100} \times \frac{6.5}{12} = ₹780$.

Answer: (A)

Q6. A manager is entitled to a commission of 10% on net profits after charging such commission. If net profit before commission is ₹1,10,000, the commission is:

(A) ₹10,000 (B) ₹11,000
(C) ₹1,000 (D) ₹12,100

Sol. Q6. Commission after charging: Commission = Net Profit $\times \frac{\text{Rate}}{100+\text{ Rate}} = 1,10,000 \times \frac{10}{110} =$ ₹10,000.

Answer: (A)

Q7. A, B and C share profits equally. Firm profit is ₹36,000. C is guaranteed a minimum profit of ₹15,000 by the firm. B's final share of profit is:

(A) ₹12,000 (B) ₹15,000
(C) ₹13,500 (D) ₹10,500

Sol. Q7. Normal share $= 36, \frac{000}{3} =$ ₹12,000 each. Deficiency for C $= 15,000 - 12,000 =$ ₹3,000, borne equally by A and B (₹1,500 each). B's final $= 12,000 - 1,500 =$ ₹10,500.

Answer: (D)

Q8. When an omission of interest on capital is corrected through a single past adjustment entry, the journal entry requires:

(A) Debiting P&L Appropriation Account (B) Crediting General Reserve Account
(C) Debiting Cash Account (D) Debiting Gaining Partner and Crediting Sacrificing Partner

Sol. Q8. Single adjustment entries correct inter-partner imbalances without reopening closed books: Gaining Partner's Capital/Current A/c Dr. to Sacrificing Partner's Capital/Current A/c Cr.

Answer: (D)

Q9. Which of the following items appears on the credit side of the Profit and Loss Appropriation Account?

(A) Interest on Partner's Capital (B) Interest on Partner's Drawings
(C) Partner's Salary (D) Transfer to General Reserve

Sol. Q9. Interest on drawings is paid by partners to the firm, increasing divisible profit; hence it is credited to P&L Appropriation Account.

Answer: (B)

Q10. A and B have capitals of ₹2,00,000 and ₹1,00,000 with IOC @ 6% p.a. PSR is 3:2. If net profit is ₹24,000 and total IOC claim is ₹30,000, profit is distributed:

(A) In profit-sharing ratio 3:2 (B) In capital ratio 2:1
(C) In ratio of respective appropriations 2:1 (D) Equally between partners

Sol. Q10. Total IOC claim = ₹30,000 (A: 20,000, B: 10,000). When profit (₹24,000) is inadequate, it is distributed in the ratio of claims $(20,000 : 10,000 = 2 : 1)$. A gets ₹16,000, B gets ₹8,000.

Answer: (C)

Q11. A partner withdraws ₹5,000 on the last day of each quarter. If interest on drawings is charged @ 6% p.a., the total interest on drawings for the year is:

(A) ₹900 (B) ₹720
(C) ₹600 (D) ₹450

Sol. Q11. Total drawings $= 5,000 \times 4 =$ ₹20,000. End of each quarter: $T_{\text{avg}} = \frac{9+0}{2} = 4.5$ mos. IOD $= 20,000 \times \frac{6}{100} \times \frac{4.5}{12} =$ ₹450.

Answer: (D)

Q12. Under the fluctuating capital system, a partner's closing capital is ₹2,00,000. Drawings were ₹40,000, additional capital ₹10,000, and profit share ₹20,000. Opening capital was:

(A) ₹1,80,000 (B) ₹2,30,000
(C) ₹2,10,000 (D) ₹2,50,000

Sol. Q12. Opening Capital $= 2,00,000 + 40,000 - 10,000 - 20,000 =$ ₹2,10,000. (Closing + Drawings - Additions - Profit).

Answer: (C)

Q13. A partner withdrew ₹40,000 during the year for personal use. If the deed provides for interest on drawings @ 10% p.a. and dates are not given, the interest charged is:

(A) ₹4,000 (B) ₹2,000
(C) Nil (D) ₹1,000

Sol. Q13. When the date of withdrawal is not specified, interest on drawings is charged for an average period of 6 months: $40,000 \times \frac{10}{100} \times \frac{6}{12} =$ ₹2,000.

Answer: (B)

Q14. X, Y and Z share profits in 3:2:1. Z is guaranteed a minimum profit of ₹30,000 personally by X. Firm profit is ₹1,20,000. X's final share of profit is:

(A) ₹60,000 (B) ₹50,000
(C) ₹40,000 (D) ₹45,000

Sol. Q14. Z's share $= \frac{1}{6} \times 1,20,000 =$ ₹20,000. Deficiency $= 30,000 - 20,000 =$ ₹10,000, borne entirely by X. X's final share $= \frac{3}{6} \times 1,20,000 - 10,000 = 60,000 - 10,000 =$ ₹50,000.

Answer: (B)

Q15. In a partnership firm maintaining fixed capital accounts, where is a debit balance in a Partner's Current Account presented in the Balance Sheet?

(A) Under Non-Current Liabilities on the Equity & Liabilities side (B) On the Asset side of the firm's Balance Sheet
(C) Deducted from Partner's Capital Account on Liabilities side (D) Debited to Profit & Loss Appropriation Account

Sol. Q15. A debit balance in a Partner's Current Account indicates that drawings/losses exceed entitlements, representing an amount receivable by the firm (shown on the Asset side).

Answer: (B)